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# Chapter 4
# Organizational Structure


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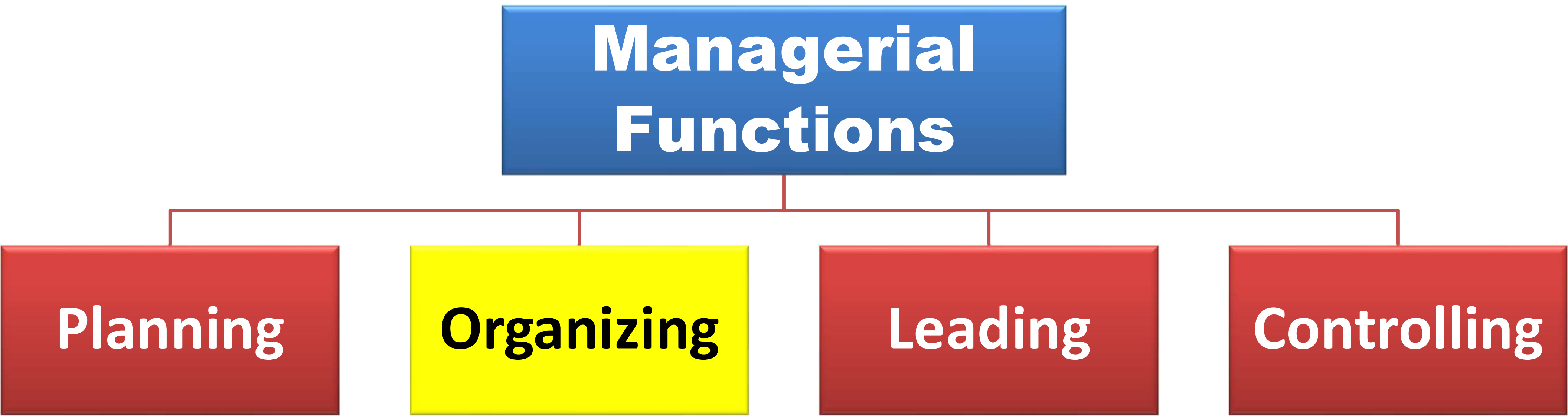
# Learning Outcomes

1. Define the nature and purposes of Organizing
2. Describe six key elements in organizational design.
3. Understand different organizational designs.
4. Discuss Contemporary Designs


Managerial Functions
Planning
Organizing
Leading
Controlling

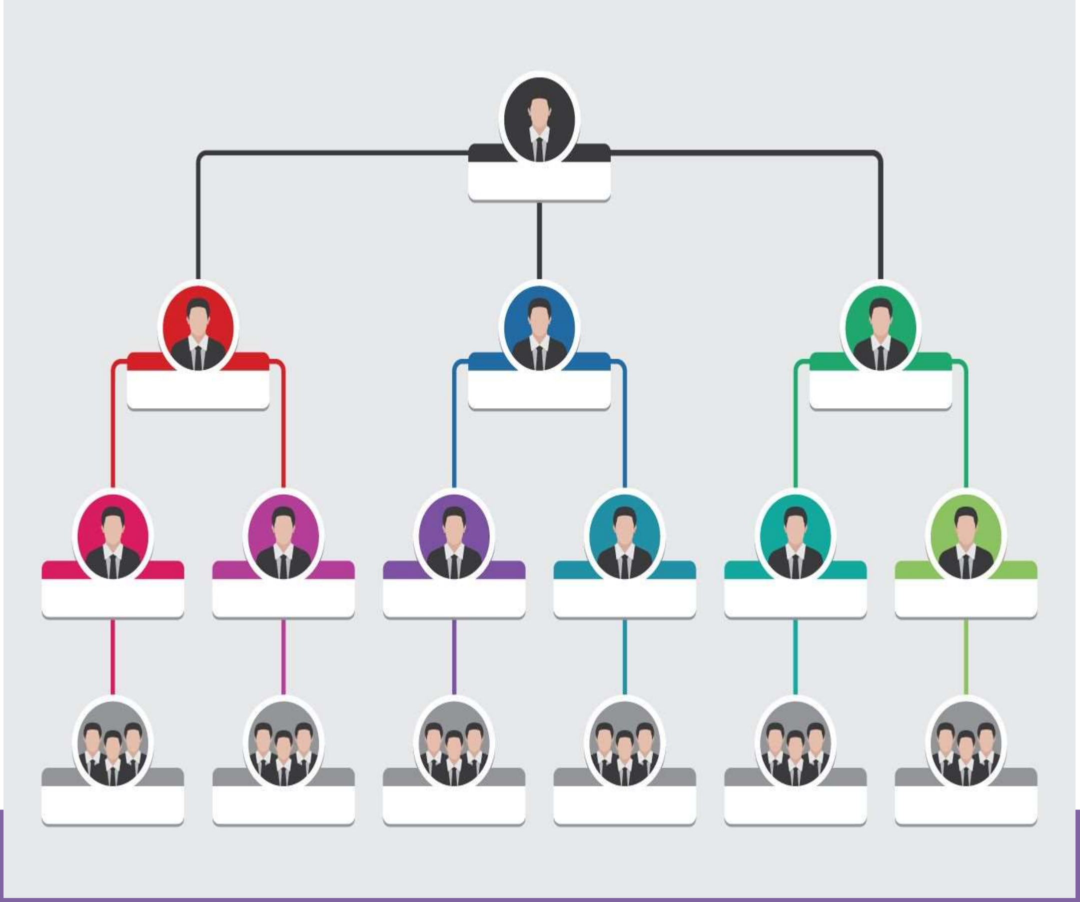
# Organizational Structure

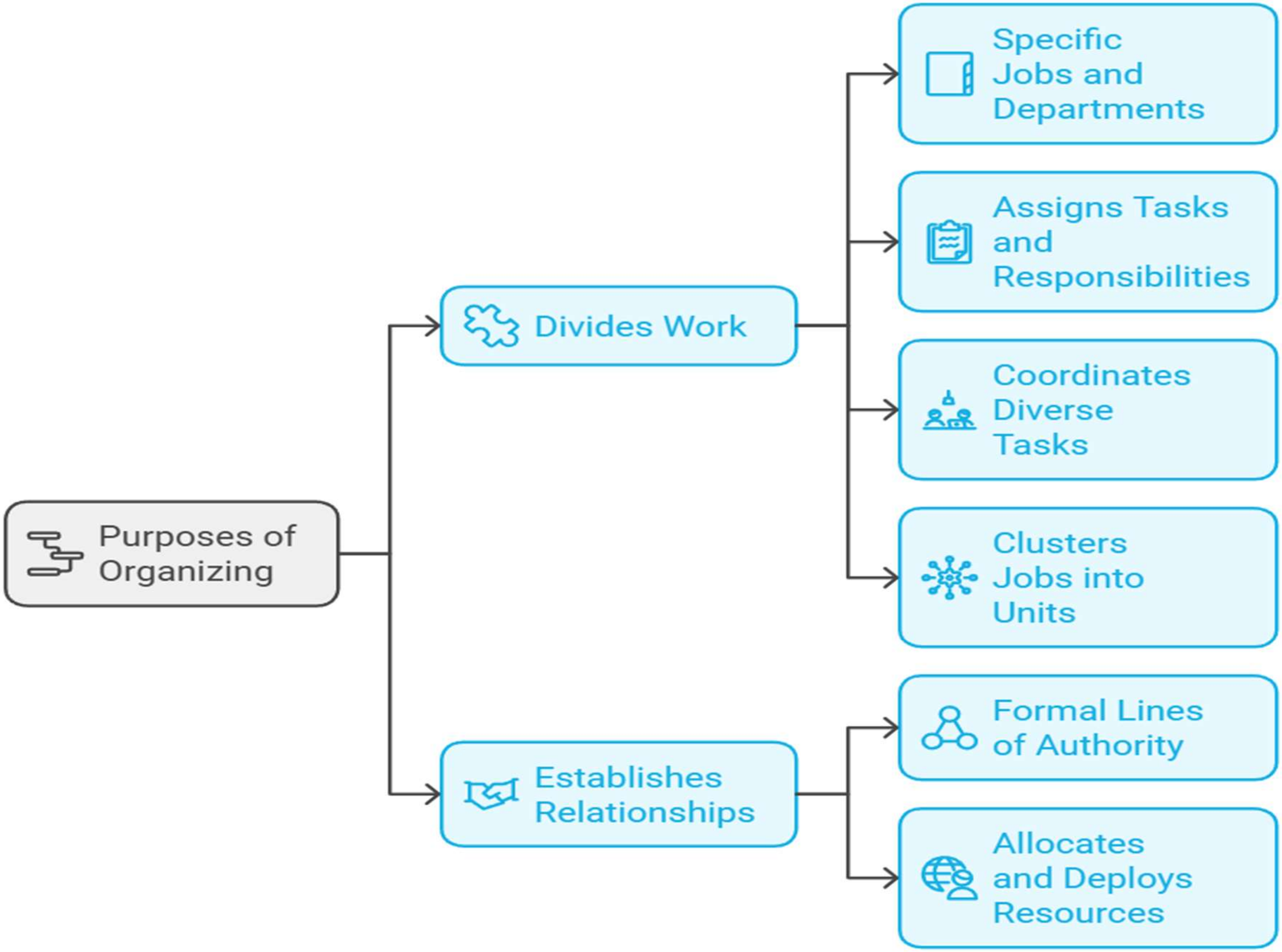
**Organizational Structure**

- The formal arrangement of jobs within an organization
    - ✓ It defines how tasks are divided, grouped and coordinated within the organization.
    - ✓ It focuses on roles, responsibilities and relationships.

**Organizational chart**

- The visual representation of an organization's structure





Purposes of Organizing
Divides Work
Establishes Relationships
Specific Jobs and Departments
Assigns Tasks and Responsibilities
Coordinates Diverse Tasks
Clusters Jobs into Units
Formal Lines of Authority
Allocates and Deploys Resources

# Organizational design

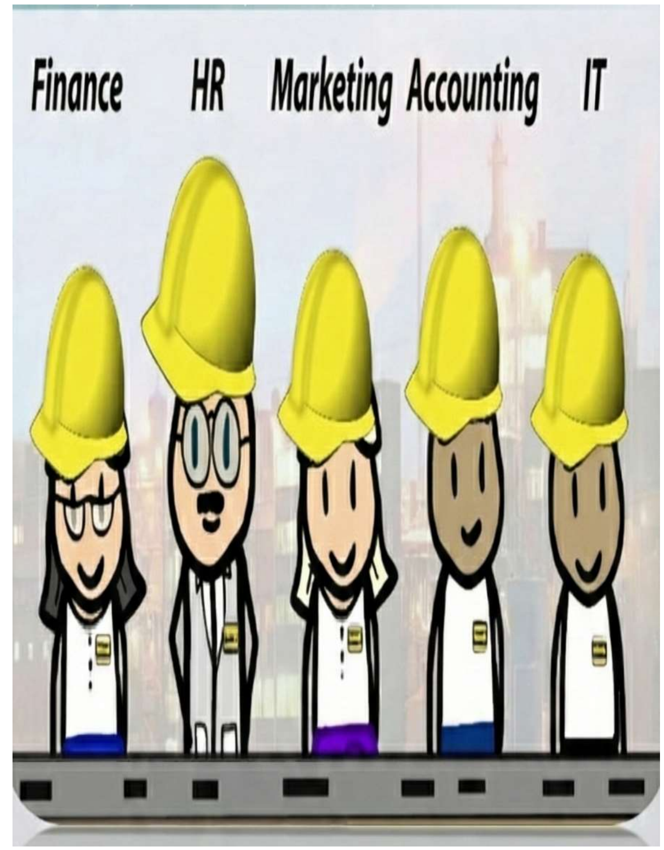
**Organizational design** refers to the process of creating and structuring an organization to achieve its goals and objectives.

- **There are six key elements in organizational design.**

# 1- Work Specialization

## Work specialization

- Also known as the division of labor, refers to dividing tasks in an organization into smaller, specialized tasks and assigning them to individuals or teams with specific skills.




## Benefits

- Efficiency because employees focus on a specific area
- Employees becoming experts in their tasks
- Leading to higher productivity and quality.

# 2- Departmentalization

**Departmentalization** refers to the process of dividing an organization into different units or departments, where each department is responsible for specific tasks or functions.

**Advantages of Departmentalization:**

1. **Specialization**: Employees focus on specific tasks, increasing efficiency and expertise.
2. **Clarity**: Clear roles and responsibilities within each department.
3. **Accountability**: Easier to evaluate performance of each department.
4. **Coordination**: Improves coordination within departments.
5. **Efficiency**: Streamlined operations and better use of resources.
6. **Scalability**: Makes it easier to grow or expand the organization.

## Types of Departmentalization


**Functional**

Grouping jobs by functions performed

**Product**

Organizing jobs by product line

**Geographical**

Arranging jobs based on territory to cater to regional needs.

**Process**

Structuring jobs by product or customer flow for streamlined operations.

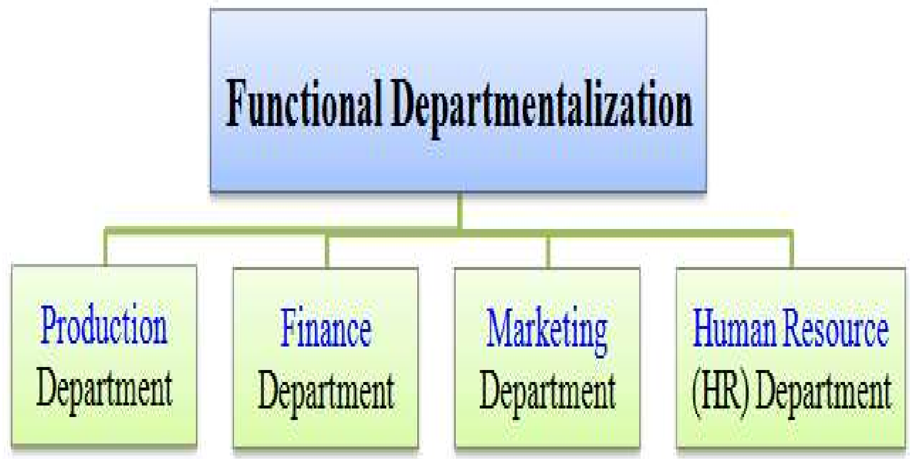
**Customer**

Aligning jobs by customer type to meet varied demands.

# 2- Departmentalization

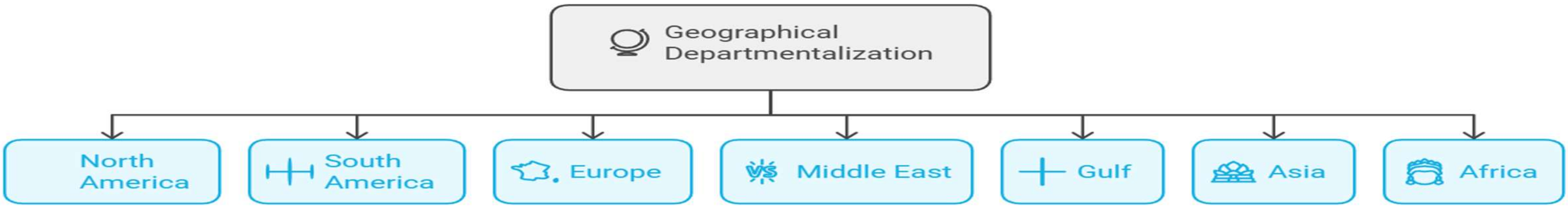
## 1- Functional Departmentalization

- **Advantages**
  - **Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations**
  - **Coordination within functional area**
  - **In-depth specialization**
- **Disadvantages**
  - **Poor communication across functional areas**
  - **Limited view of organizational goals**



# 2- Departmentalization

## 2- Geographical Departmentalization

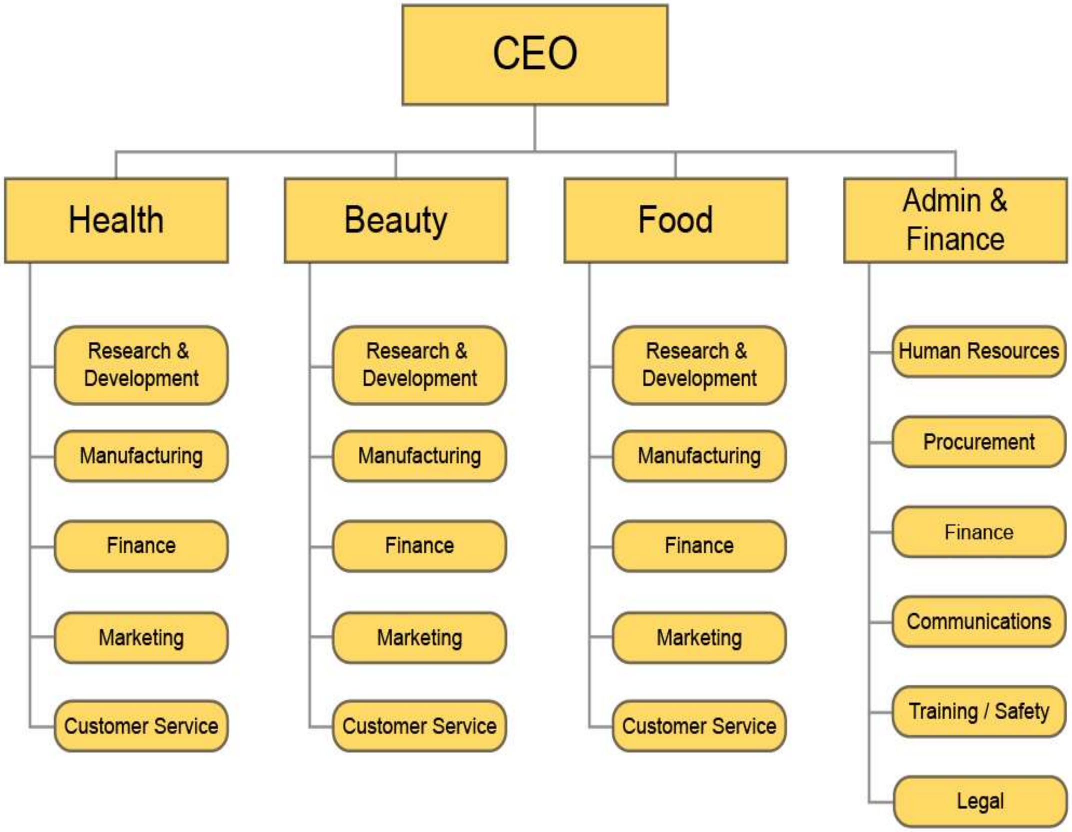



- **Advantages**
  - **More effective and efficient handling of specific regional issues that arise**
  - **Serve needs of unique geographic markets better**
- **Disadvantages**
  - **Duplication of functions**
  - **Can feel isolated from other organizational areas**

# 2- Departmentalization

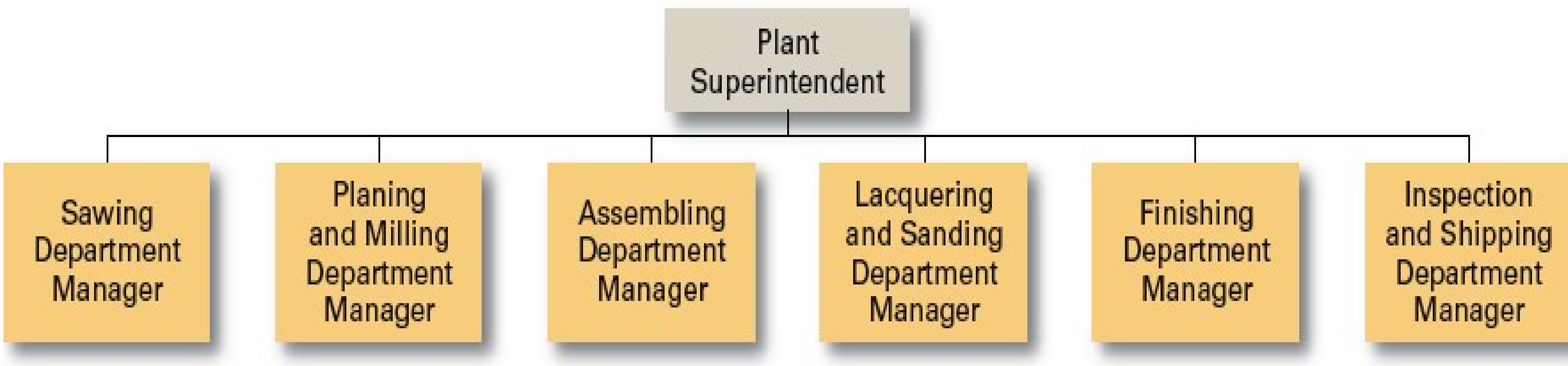
## 3- Product Departmentalization

+ **Allows specialization in particular products and services**
+ **Managers can become experts in their industry**
+ **Closer to customers**
– **Duplication of functions**
– **Limited view of organizational goals**



# 2- Departmentalization

## 4- Process Departmentalization




+ **More efficient flow of work activities**

– **Can only be used with certain types of products**

# 2- Departmentalization

## 5- Customer Departmentalization


**+ Customers' needs and problems can be met by specialists**

**- Duplication of functions**

**- Limited view of organizational goals**

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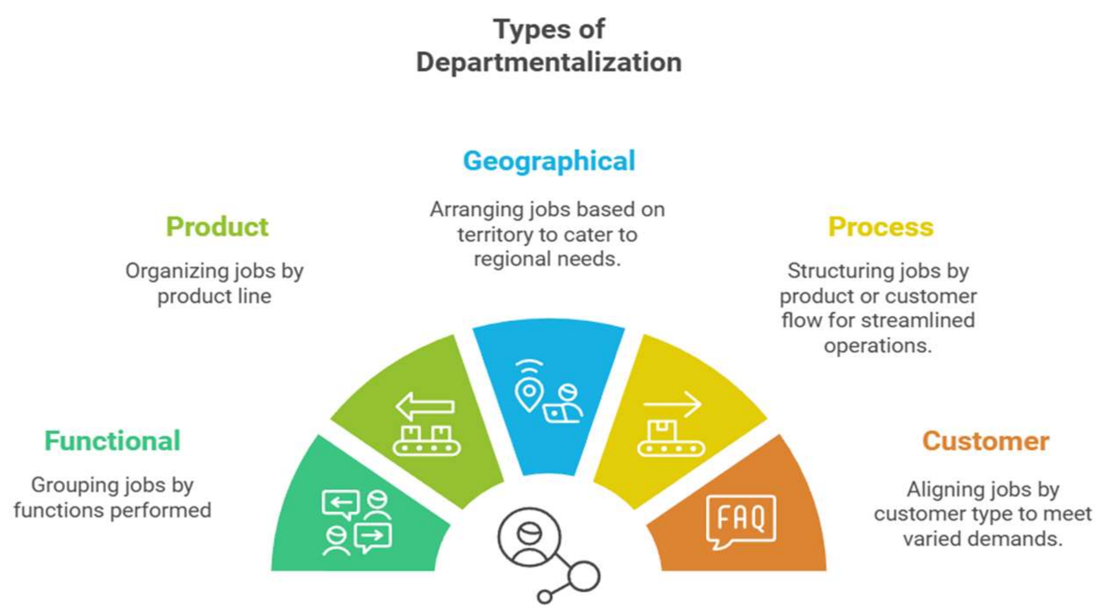
# Which Departmentalization is your current Organization?



# 3- Chain of Command

**Chain of Command:** The continuous **line of authority** that **extends from upper levels of an organization** to the **lowest levels** of the organization and **clarifies who reports to who.**

**Authority**

- The rights inherent in a **managerial position** to tell people what to do and to expect them to do it.

**Responsibility**

- The obligation or expectation to perform assigned duties.

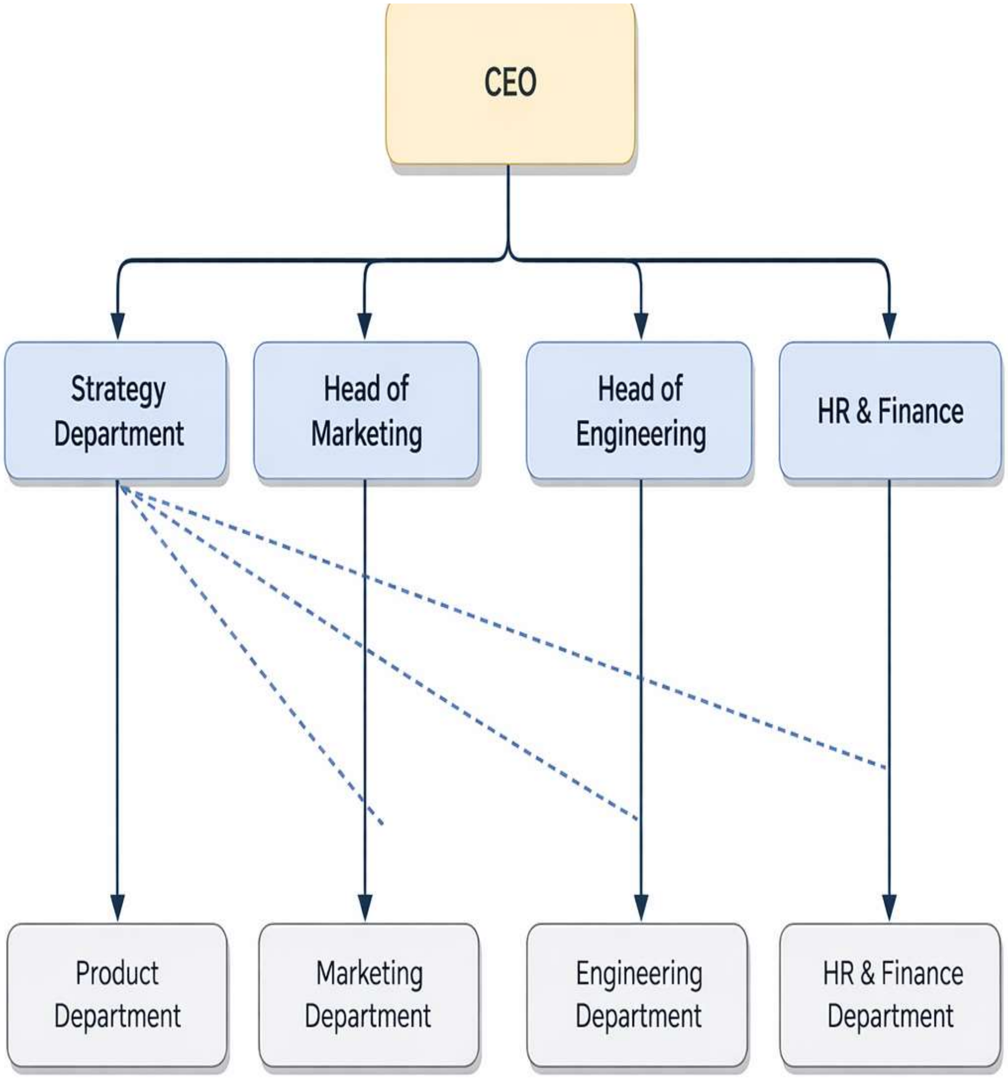
**Unity of Command**

- The concept that **a person should have one boss and should report only to that person.**

# 3- Chain of Command

## Line of Authority

- **Direct Line (Solid Line)**:
    - This is the primary, hierarchical connection in an org chart.
    - It indicates a formal, direct reporting relationship where one position has authority over another.
- **Dotted Line (Indirect or Functional Line)**:
    - This represents a **secondary**, **advisory**, or **supportive** relationship.
    - It shows influence or coordination without full hierarchical control.



# 4- Span of Control

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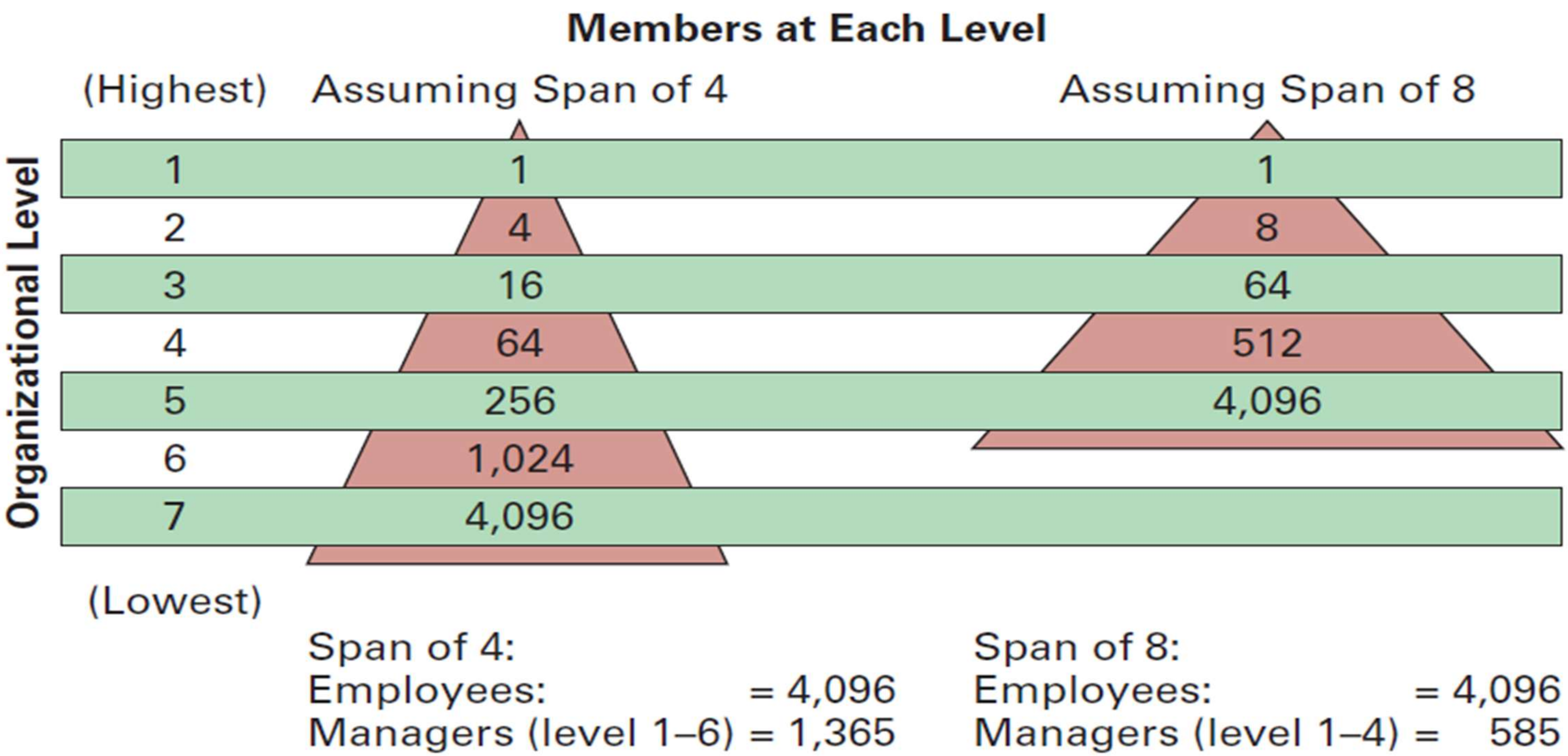
The **number of employees** who can be effectively and efficiently **supervised** by a manager.

- **Traditional View**:
    - Managers should supervise no more than 5-6 subordinates to avoid being overwhelmed.
- **Impact**:
    - Influences organizational structure (number of levels and managers).
    - Wider spans lead to **cost-efficiency** (fewer managers and levels).
- **Balance**:
    - Excessively wide spans may compromise effectiveness if managers can't provide adequate guidance.

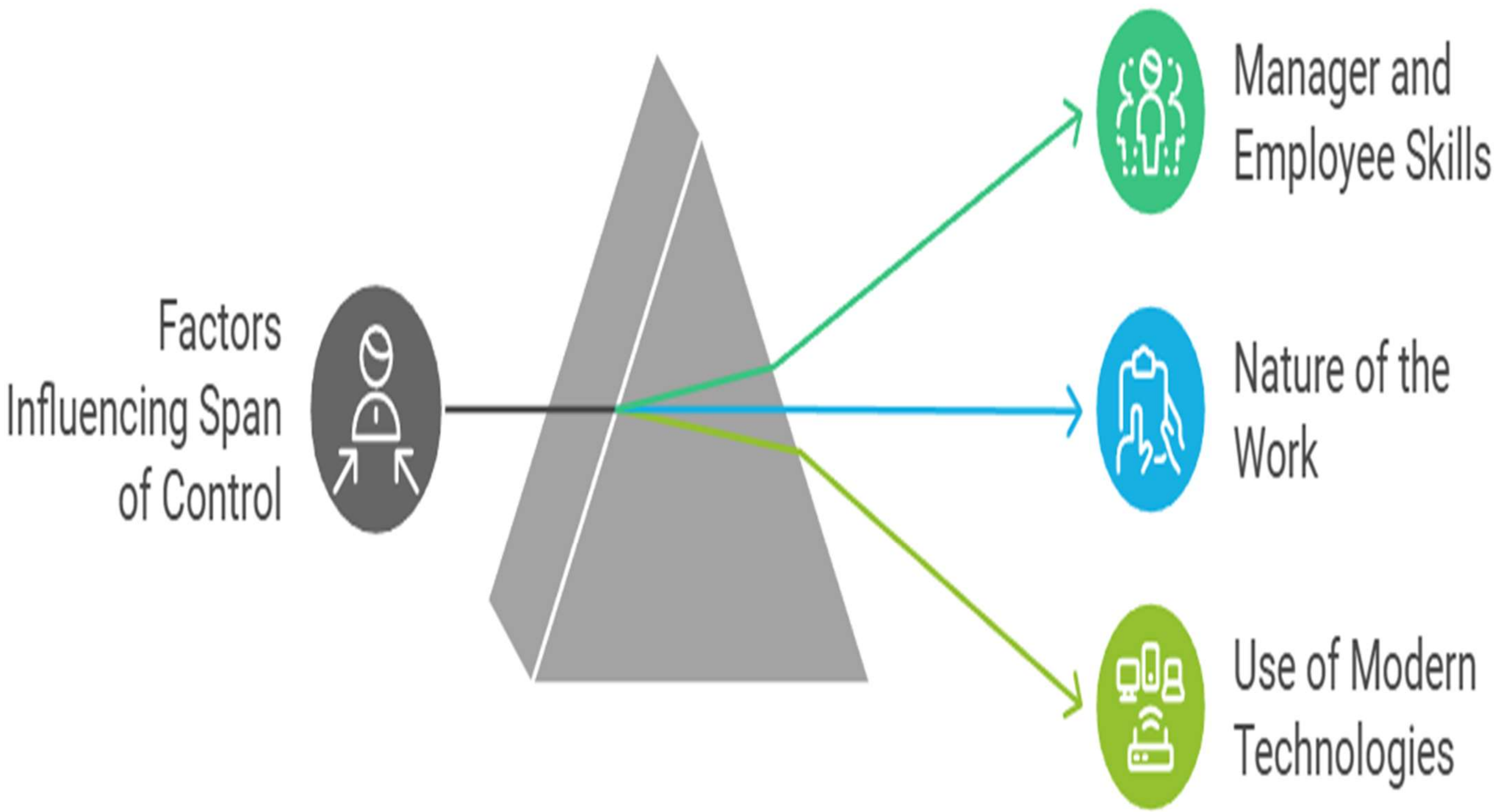
# 4- Span of Control



# 4- Span of Control

**Contemporary View**:

- **Larger spans of control are favored to:**
  - Speed decision-making.
  - Increase flexibility and customer focus.
  - Empower employees and reduce costs.
- **When to use Wider Span**:
  - Works best with trained employees.
  - There are support from coworkers and technology.
- **Conclusion**:
  - No universal rule; adaptability is key to efficient management.


Factors Influencing Span of Control
Manager and Employee Skills
Nature of the Work
Use of Modern Technologies

# 5- Centralization & Decentralization

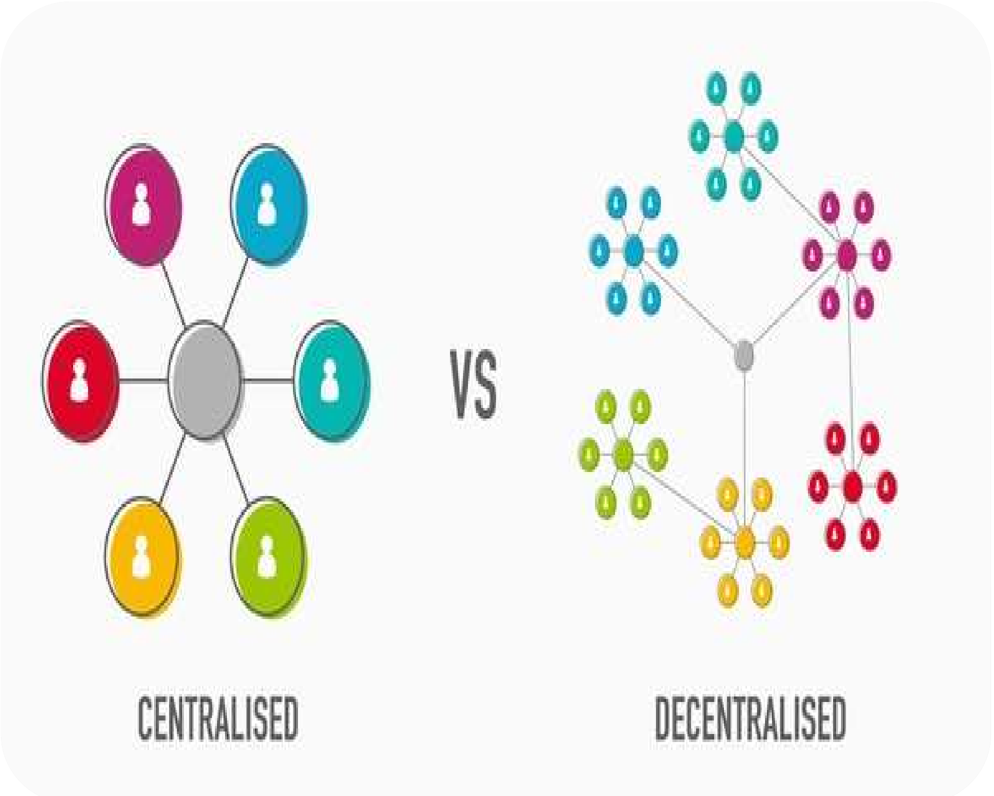
**Centralization**

- The degree to which decision making is concentrated at upper levels of the organization

**Decentralization**

- The degree to which lower-level employees provide input or actually make decisions.
  - **Employee Empowerment**

    Increasing the decision-making authority (power) of employees.



# 5- Centralization & Decentralization

| Centralization | Decentralization |
| --- | --- |
| • **Crisis Management:** In urgent situations, a centralized structure allows for quick and decisive action from a single point of authority.<br>• **Strong Leadership Vision:** When the top leader has a clear and compelling vision that needs to be implemented uniformly across the organization.<br>• **Cost Reduction through Standardization:** When standardizing processes and consolidating functions can lead to significant cost savings.<br>• **Ensuring Uniformity and Quality:** When consistency in product, service, or policy is critical for brand image and customer satisfaction.<br>• **New and Small Organizations:** In the early stages, centralized control can provide direction and stability. | • **Rapidly Changing Environments:** When the organization needs to be agile and adapt quickly to market shifts and competitive pressures.<br>• **Diverse Markets and Customer Needs:** When different regions or customer segments have unique requirements that necessitate local responsiveness.<br>• **Fostering Innovation and Creativity:** When empowering employees at different levels to make decisions can lead to new ideas and solutions.<br>• **Developing Future Leaders:** By giving lower-level managers autonomy, the organization can identify and nurture leadership talent.<br>• **Increasing Employee Engagement:** When involving employees in decision-making processes enhances their sense of ownership and commitment.<br>• **Large and Complex Organizations:** Decentralization can make it easier to manage diverse operations and avoid overburdening top management. |

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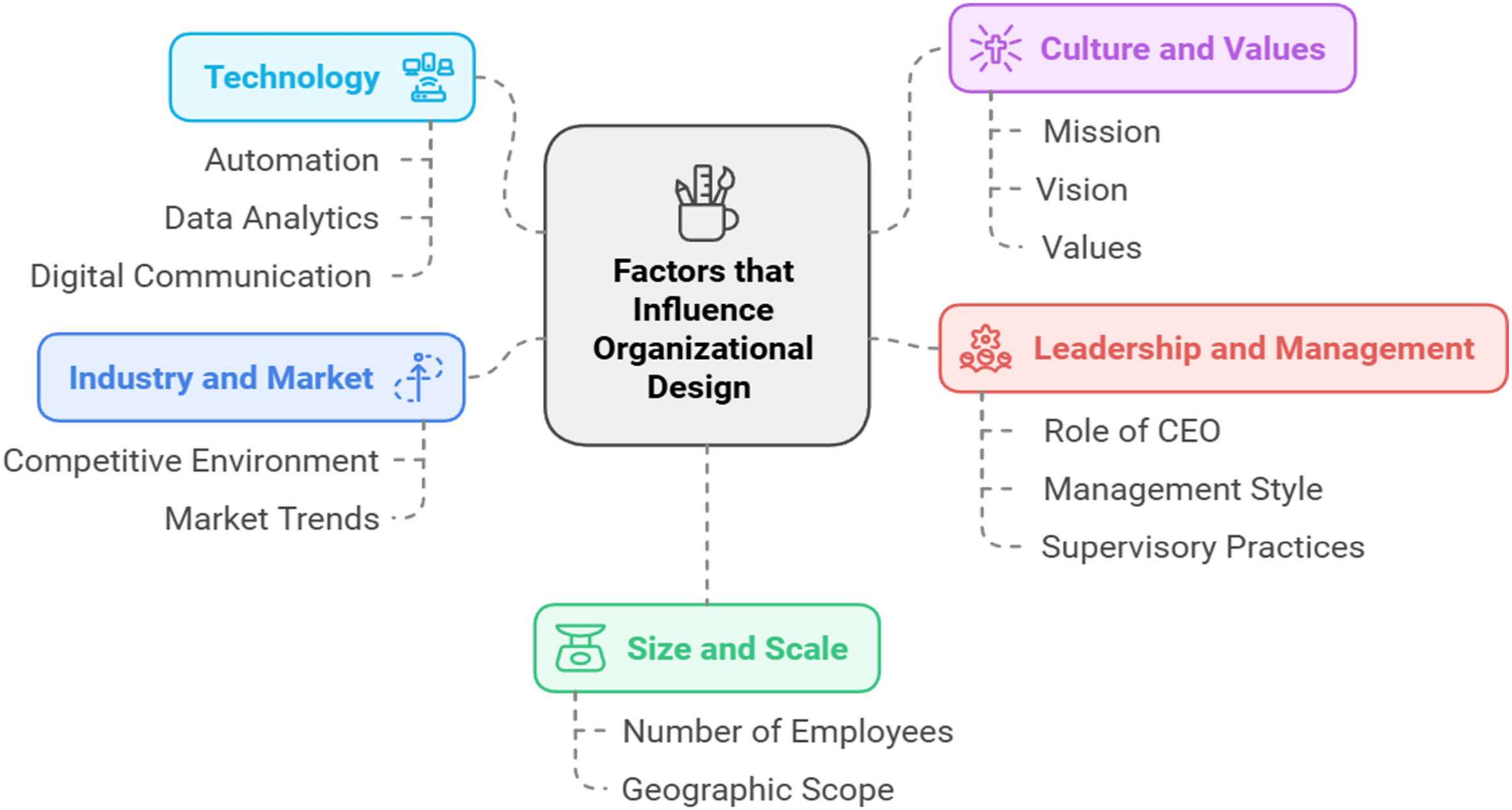
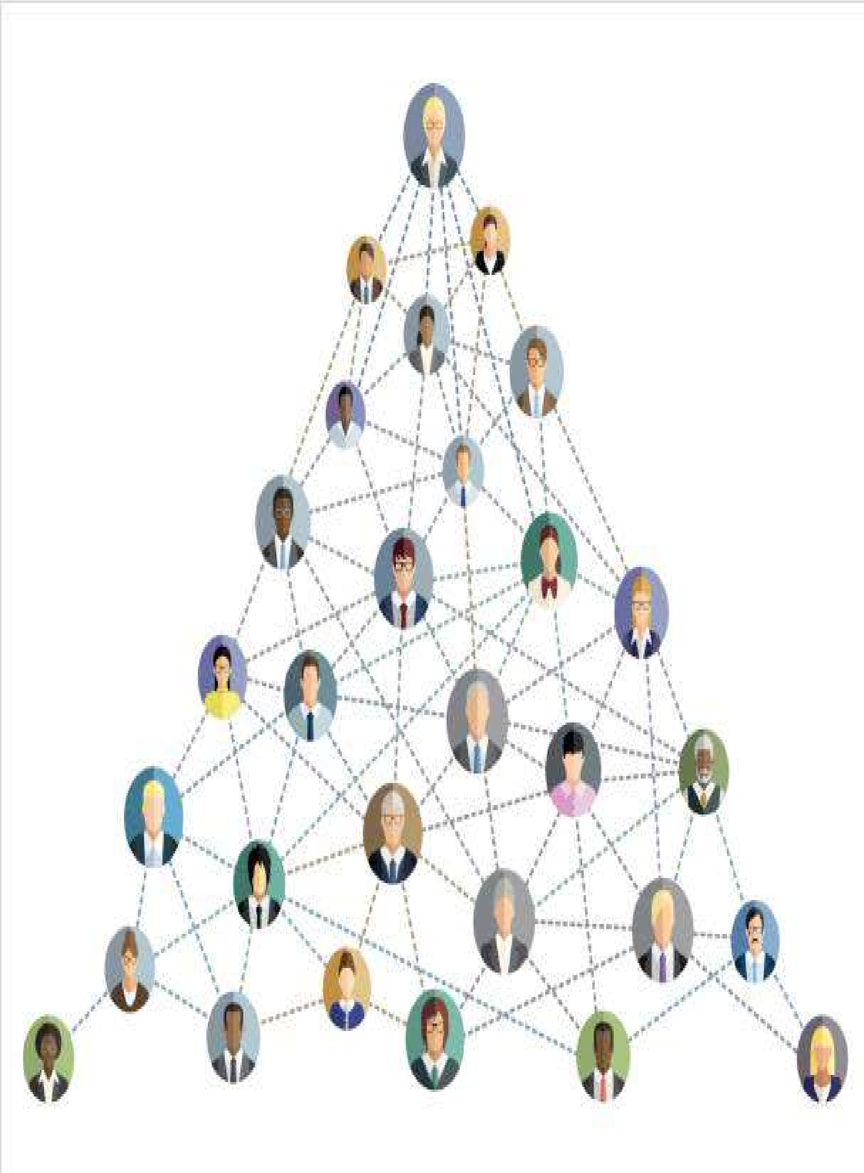
# 6- Formalization

The extent to which employee behavior is guided by rules and procedures.


- **Key Features of High Formalization**:
    - Clear job descriptions.
    - Numerous organizational rules and defined work procedures.
- **Traditional View**:
    - Favored high formalization for efficiency, emphasizing extensive rules.
    - **Benefits of High Formalization**:
        - Works well in stable environments, ensuring fairness and consistency.
    - **Challenges**:
        - Ineffective in dynamic, rapidly changing workplaces.
- **Modern View**:
    - Emphasis on flexibility over strict rules and standardization.
    - Organizations adapt to changing environments by reducing reliance on formalization and allowing employees more discretion.


Factors that Influence Organizational Design
Technology
Automation
Data Analytics
Digital Communication
Industry and Market
Competitive Environment
Market Trends
Culture and Values
Mission
Vision
Values
Leadership and Management
Role of CEO
Management Style
Supervisory Practices
Size and Scale
Number of Employees
Geographic Scope

# Types of Organizational Structure



# Types of Structure

- **Traditional**
  - **Simple**
  - **Functional**
  - **Divisional**
- **Contemporary**
  - **Team**
  - **Matrix**
  - **Project**
  - **Virtual**

# Traditional Structure

**I. Simple Structure**

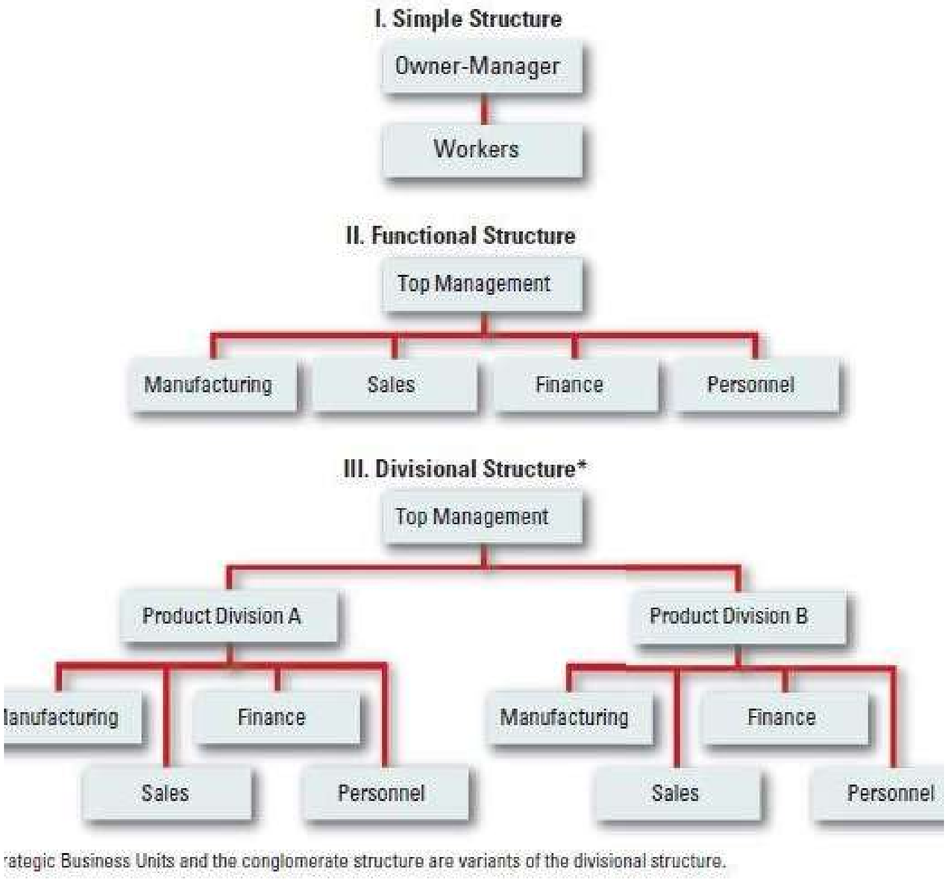
- Entrepreneur control the **company but Flexible and dynamic**

**II. Functional Structure**

- Entrepreneur is replaced by a team of managers

**III. Divisional Structure**

- Made up of separate, business units or divisions



# 1. Simple Structure

**The simple organizational structure (also known as a flat structure) is characterized by:**

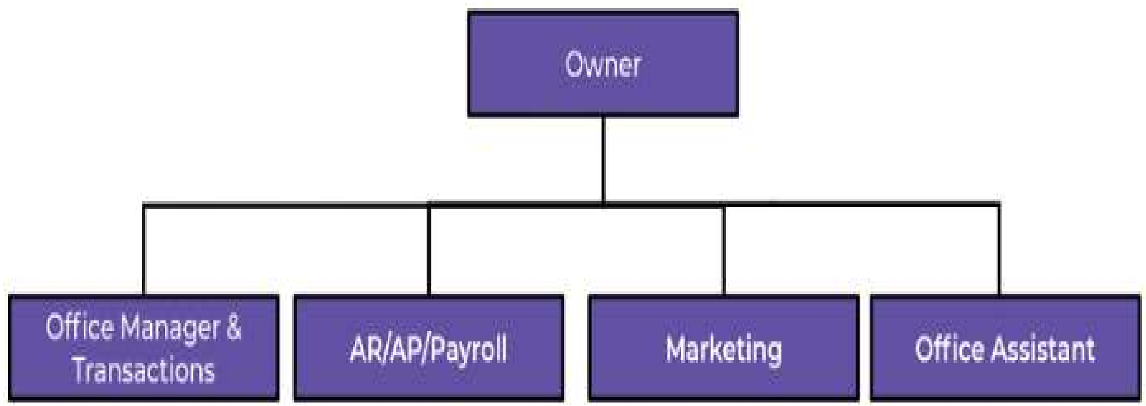
- **Minimal Hierarchy:** Few or no levels of middle management.
- **Wide Span of Control:** A single manager or owner oversees many employees.
- **Centralized Decision-Making:** The top leader makes most or all decisions.

**Advantages:**

1. Fast Decision-Making
2. Cost-Effective
3. Flexibility
4. Strong Sense of Ownership

**Disadvantages:**

1. Limited Growth Potential.
2. Over-Reliance on the Leader.
3. Limited Specialization




Example:

- **Organizations in the Early Stages:** Before they've had a chance to develop more complex processes and hierarchies.
- **Small Businesses or Startups:** Where the focus is on getting things done quickly and efficiently with a small team.

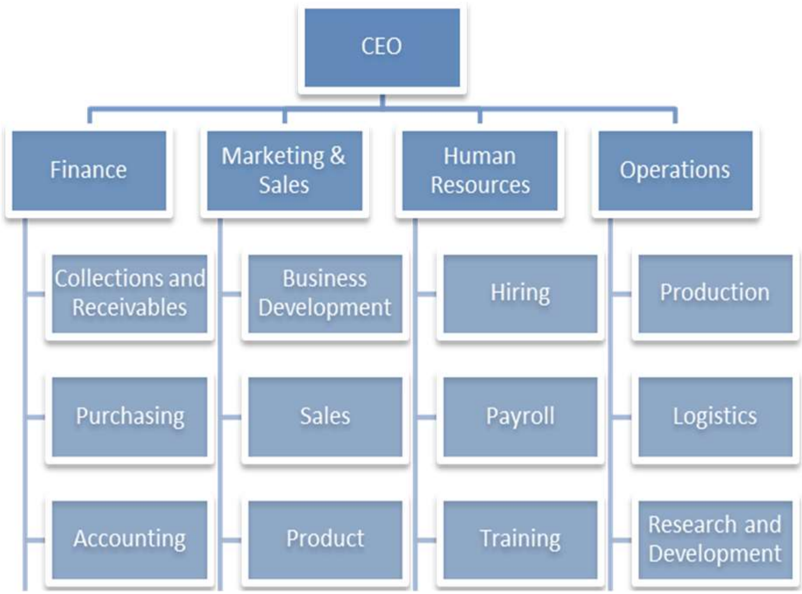
# 2. Functional Structure

**Definition:** **A Functional Structure is an organizational structure in which employees are grouped according to their specialized functions or departments.**

**Each department performs a specific organizational function, and employees report to a functional manager who has expertise in that area.**

**Advantages:**

1. Specialization and Expertise
2. Grouping similar tasks together increases operational efficiency.
3. Clear Authority and Responsibility




**Disadvantages:**

1. Poor Communication Between Departments.
2. Slow Decision Making.
3. Departmental Conflicts
4. Functional managers may focus only on **departmental performance rather than overall company success**.

# 3.Divisional Structure

**<u>Definition</u>: A Divisional Structure is an organizational structure in which the company is divided into separate units or divisions, and each division operates almost like a small company within the organization.**

- **These divisions are typically created based on: Products, Geographical areas or Customer groups**

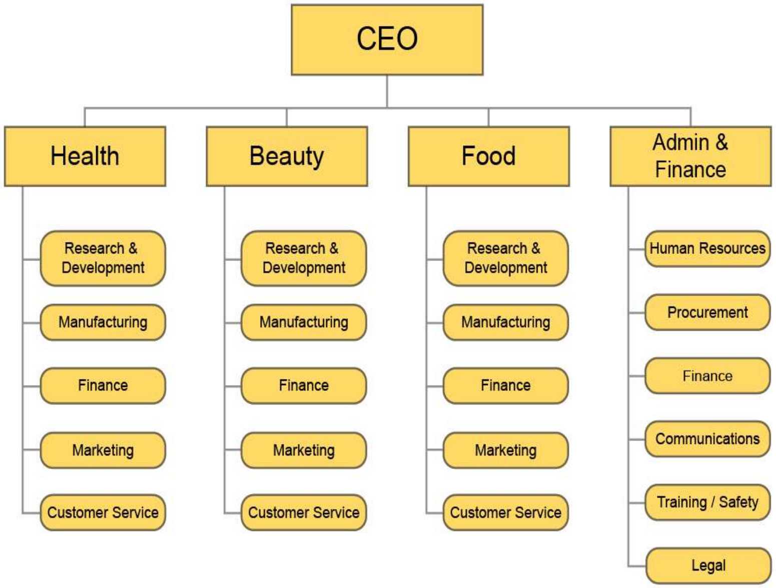
**<u>Advantages</u>:**

1. Each division focuses on **specific products or markets**, which improves performance.
2. Managers within divisions can make decisions **quickly without waiting for headquarters**..
3. It creates career development opportunities
4. Divisions can adapt quickly to **changes in their specific markets**

**<u>Disadvantages:</u>**

1. High cost
2. Duplication of functions & resources
3. Divisions may compete with each other instead of collaborating.

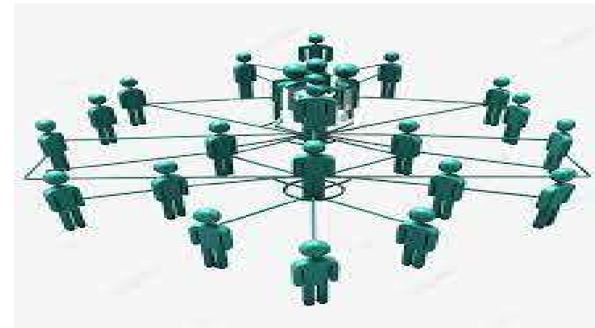
Example:




**Amazon** Uses a Divisional Structure

- **Amazon Web Services (AWS)**: Focuses on cloud computing services.
- **Amazon Retail**: Manages the e-commerce platform.
- **Amazon Devices**: Responsible for products like Echo, Kindle, and Fire TV.
- **Amazon Prime Video**: Handles streaming services and original content.

# Contemporary Structure

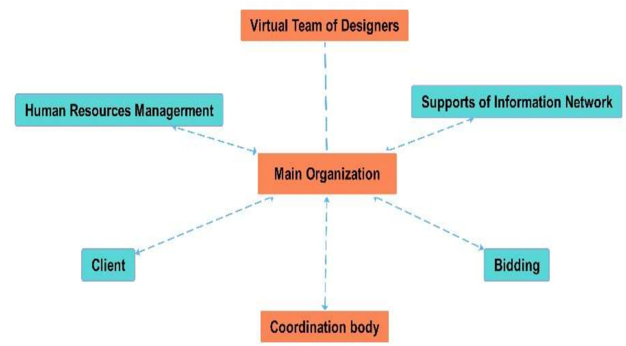


**1- Team Structure**

- The entire organization is made up of work teams.

**2- Virtual Structure**

- An organization that consists of a small core of full-time employees and outsources its major business functions

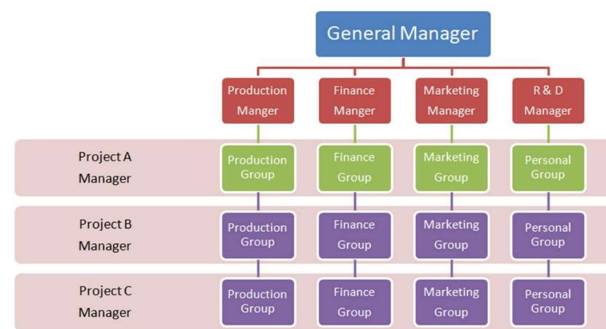



**3- Project Structure**

- The organization is structured around projects instead of departments. Each project has its own team and project manager.

**4- Matrix Structure**

- Assigns specialists from different functional departments to work on one or more projects.



# 1. Team Structure

**Definition:** **A team structure organizes the organization around work teams instead of traditional departments. Employees from different functional areas work together in teams to complete tasks or projects.**

- **Instead of separate departments for marketing, finance, and operations, employees from these areas may work together in cross-functional teams.**
- **Example: A product development team may include: Marketing specialist, Engineer, Financial analyst, Operations manager, All working together to launch a new product..**

**Advantages:**

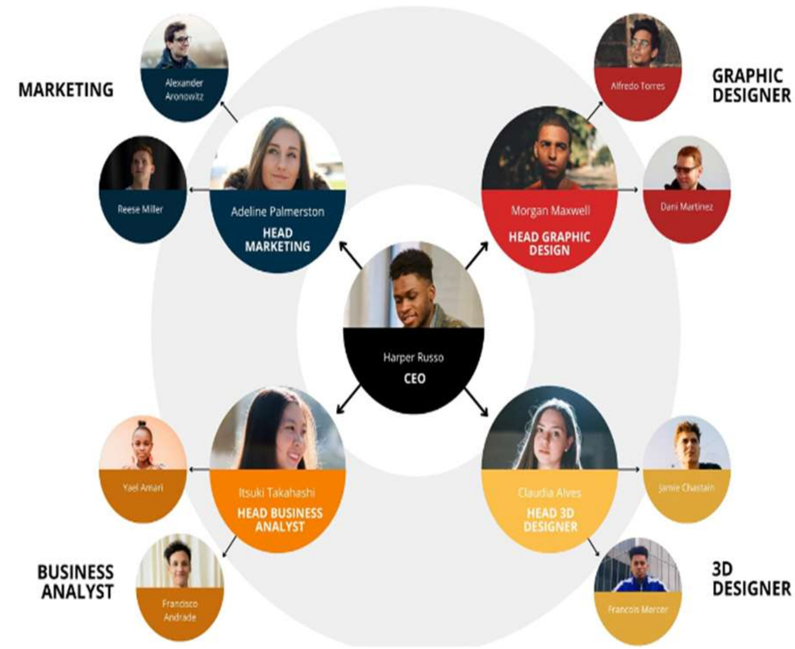
1. Encourages collaboration and communication
2. Higher employee empowerment and involvement
3. Improves innovation and creativity

**Disadvantages:**

1. Possible conflicts among team members
2. Team decision making may take longer sometimes
3. Role ambiguity (employees may be unclear about responsibilities)

**Best used when:**

•Organizations need **innovation and creativity**
•Work requires **cross-functional cooperation**
•Companies want to **increase employee involvemen**



# 2. Virtual Structure

**<u>Definition:</u> An organization that consists of a small core of full-time employees and outsources its major business functions**

**The organization relies heavily on technology and digital communication.**

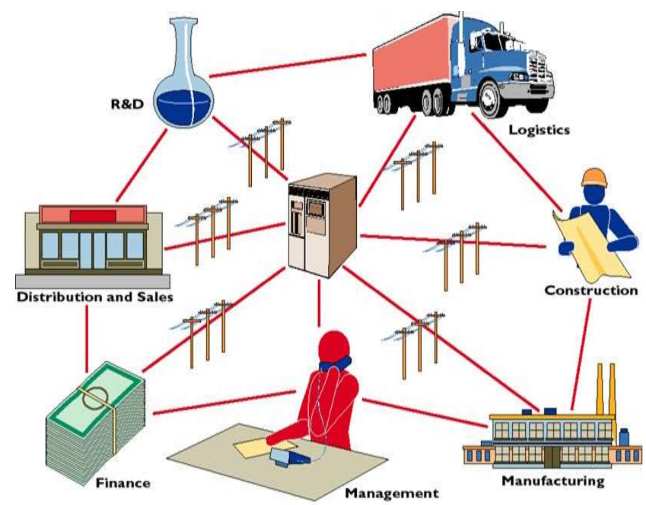
**A company may outsource: Manufacturing, Marketing, Customer service**
**& Logistics**
**The core company focuses on strategy and coordination.**

**Advantages:**

1. **Flexibility**: Allows for quick adaptation to changing project needs and efficient staffing
2. **Cost Savings**: Eliminates the need for permanent offices and hierarchical roles for outsourced functions

**Disadvantages:**

1. Less control over outsourced activities
2. Dependence on external partners
3. Possible communication challenges
4. Data security risks




**Best used when:**

- Organizations want to **reduce costs**
- Companies focus on **core competencies**
- Work can be managed **digitally**

Example industries: E-commerce companies, Online service companies & Software startups

# 3. Project Structure

**The organization is structured around projects instead of departments. Each project has its own team and project manager.**

- **Employees work on a project until it is completed, then they move to another project.**

Example

A software development company may create a separate team for each software project:

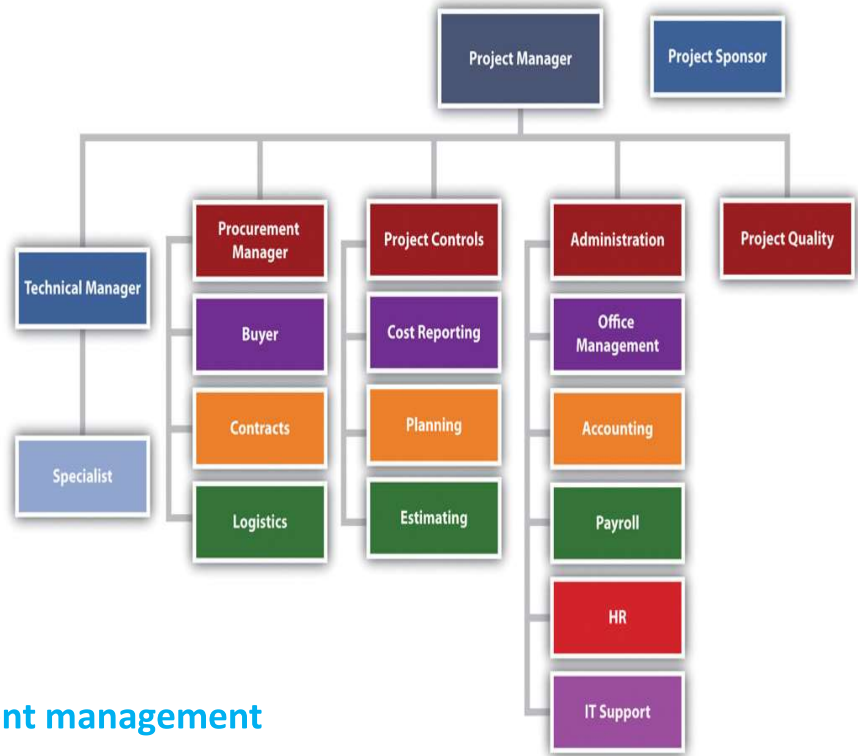
Developers, Designers, Quality testers & Project manager

**Advantages:**

1. Clear responsibility and accountability
2. Fast decision making
3. Strong focus on project goals
4. High flexibility

**Disadvantages:**

1. Possible duplication of resources
2. Less job security for employees
3. Team members may feel uncertain after project completion
4. Higher costs sometimes




Best used when:

•Work is **project-based**, Projects are **large and complex**

•Projects require **dedicated teams**

**Example industries: Construction companies, Software development & Event management**

# 4. Matrix Structure

**Matrix structure: An organizational structure that assigns specialists from different functional departments to work on one or more projects.**

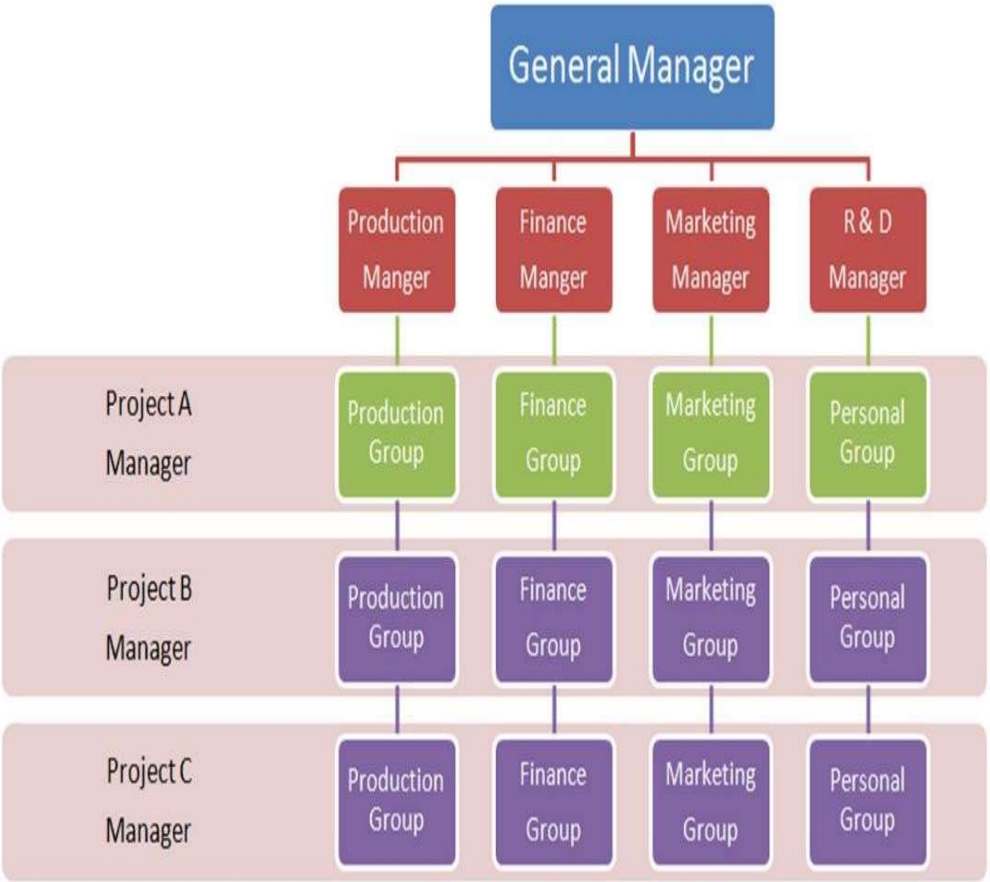
- **The organization combines functional departments and project**
- **Employees report to two managers:**

**Advantages:**

1. Efficient use of specialized resources
2. Improves coordination between departments
3. Encourages knowledge sharing
4. Flexible for managing multiple projects

**Disadvantages:**

1. Dual authority can create confusion
2. Possible conflicts between managers
3. Employees may feel stress due to multiple bosses
4. Requires strong communication




Best used when:

•Organizations manage **multiple complex projects**

•Resources must be **shared across departments**

•The company needs both **functional expertise and project focus**

Example industries: Construction companies, Engineering companies

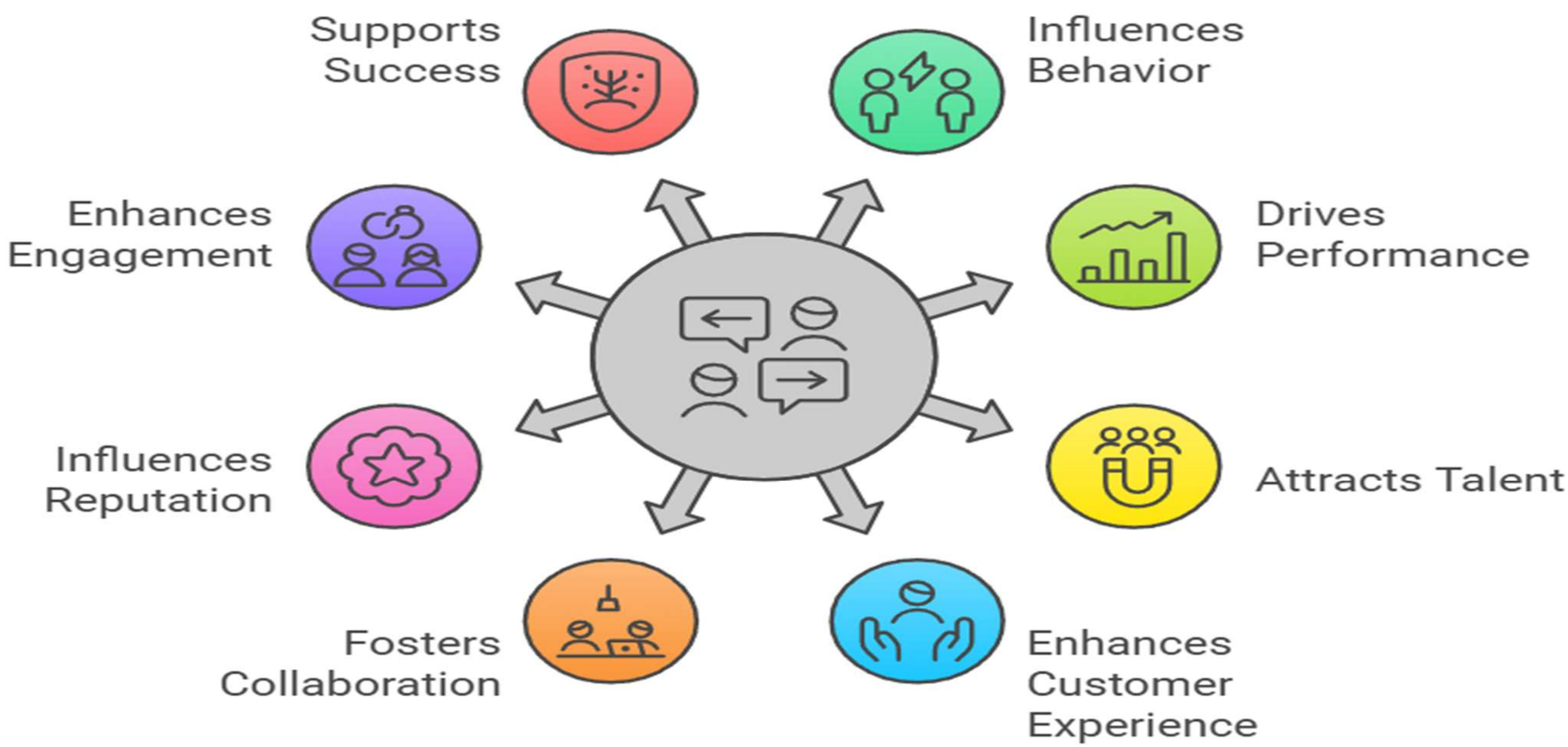

Organizational Culture

# Organizational Culture

**Organizational culture** refers to the set of values, beliefs, attitudes, and behaviors that are shared among the members of an organization.

- It is a unique and dynamic entity that shapes the way people interact with each other, make decisions, and approach their work.
- Organizational culture is often referred to as the "**personality**" of the organization, as it reflects the organization's history, values, and goals.

## Importance of Organizational Culture



# Importance of Organizational Culture

**1.Influences Behavior**: Organizational culture shapes the behavior of employees, influencing how they interact with each other, customers, and stakeholders.

**2.Drives Performance**: A positive organizational culture can drive performance, innovation, and productivity, while a negative culture can lead to low morale, high turnover, and poor performance.

**3.Attracts and Retains Talent**: A strong organizational culture can attract and retain top talent, as employees are drawn to organizations that share their values and beliefs.

**4.Enhances Customer Experience**: Organizational culture can impact the customer experience, as employees who are engaged and motivated are more likely to provide excellent service.

# Importance of Organizational Culture

**5. Fosters Collaboration and Communication**: Organizational culture can facilitate collaboration and communication among employees, departments, and teams, leading to better decision-making and problem-solving.

**6. Influences Reputation**: An organization's culture can impact its reputation, as employees, customers, and stakeholders perceive the organization's values and behaviors.

**7. Enhances Employee Engagement**: Organizational culture can impact employee engagement, as employees who feel valued, respected, and supported are more likely to be engaged and motivated.

**8. Supports Long-Term Success**: A strong organizational culture can support long-term success, as it provides a foundation for sustainable growth, innovation, and adaptability.

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# To develop a strong organizational culture, leaders and managers can:

- Communicate the organization's values and mission clearly.
- Lead by example, demonstrating the behaviors and values they expect from others
- Foster open communication and feedback
- Encourage collaboration and teamwork
- Recognize and reward employees who embody the organization's values
- Continuously monitor and evaluate the organization's culture, making adjustments as needed.


CULTURE IS
NOT AN HR FUNCTION.
IT COMES FROM
THE TOP.


Thank
YOU!